

incorporating market, size, and value risk factors, as per the Kenneth French website.¹⁰ We also show a four-factor Fama/French model that adds relative momentum, as well as a six-factor model that additionally adds the excess return of the Barclays Capital U.S. Aggregate Bond and S&P GSCI commodity indexes.

Table B.9 Factor Model Coefficients, 1974–2012

	Annual Alpha	Market Beta	Small Beta	Value Beta	Momentum Beta	Bond Beta	GSCI Beta	R ²
6-factor model	3.82** (4.10)	0.159** (6.90)	−0.044 (1.51)	0.039 (1.41)	0.078** (2.75)	0.259** (3.28)	0.045** (4.56)	0.23
4-factor Fama/French	4.07** (4.28)	0.167** (7.84)	−0.061* (2.00)	0.054* (2.01)	0.092** (3.39)	-	-	0.21
3-factor Fama/French	5.24** (5.99)	0.149** (6.54)	−0.071* (2.38)	−0.017 (0.86)	-	-	-	0.17
1-factor model	4.97** (5.62)	0.139** (6.29)	-	-	-	-	-	0.15

Newey-West (1987) robust t-statistics in parentheses adjust for serial correlation and possible heteroskedasticity. Statistical significance at the 1% and 5% level is denoted by ** and *, respectively.

Since our parity portfolio is long only, we naturally see highly significant loadings on the stock, bond, and GSCI market factors. Absolute momentum captures some significant cross-sectional momentum beta. Our parity portfolio with 12-month absolute momentum provides substantial and significant alphas according to all four models.

CONCLUSIONS

Cowles and Jones first presented 12-month momentum to the public in 1937. It has held up remarkably well ever since. Relative strength momentum, looking at performance against one's peers, has attracted the most attention from researchers and investors. Yet relative strength is a secondary way of looking at price strength. Absolute momentum, measuring an asset's